

OSBA Public Charter School Review Rubric

Applicant: John Adams Academy

Background

Oregon's Public Charter School Law was enacted in May 1999. It provides an opportunity for teachers, parents, and community members to "create new, innovative, more flexible ways of educating all children within the public school system." ORS 338.015.

Review Process Components

The review process considers information required by ORSs 338.045 and 338.055 and District Policy LBE and LBE-AR and includes the following components:

1. A review of the proposal by the consultant. This review will consist of:
 - An overall analysis with general impressions of the application.
 - A determination of whether each component of the applicant meets criteria, based on a three-point rubric of Meets, Nearly Meets, or Does Not Meet.
 - Information gathered from the public hearing will be included in the final report.
- o **1 = Meets:** The application addresses the section criteria with responses that adequately demonstrate the applicant's ability to successfully start and operate a charter school. Applicant demonstrates a clear understanding of the requirements of charter schools, as per relevant Oregon Revised Statutes and Oregon Administrative Rules and Pinehurst Board policy regarding charter schools. Applicant addresses the topic with specific evidence that shows thorough preparation and presents a clear, realistic picture of how the school intends to operate. Very little additional information or data is necessary.
 - o **0 = Does Not Meet:** The application does not address the section criteria in adequate detail and/or the responses demonstrate the applicant's inability to successfully start and operate a charter school. The applicant provides insufficient data and/or information to support assertions in the proposal or uses flawed or misleading data and/or information. The applicant demonstrates a lack of knowledge of the requirements of charter schools, as per relevant Oregon Revised Statutes and Oregon Administrative Rules and/or lack of preparedness to open and operate a charter school. The applicant's responses raise substantial concerns about the applicant's ability to implement an effective educational, financial, and/or organizational plan.

The final recommendation to the district to either approve or reject the proposal will be based on information gathered throughout the review process.

Overall Recommendation Summary

OVERALL RECOMMENDATION

☐ APPROVE

☒ DENY

SUMMARY COMMENTS

The applicant has developed and could provide a comprehensive educational program for all students (including students it would identify as low-achieving). This meets two of the statutory criteria.

However, the applicant has not demonstrated sustainable support for the application by the community, it has not demonstrated financial viability, it has not met criteria with respect to applicable and appropriate arrangements for the provision of special education services, and it has not responded satisfactorily to questions as required by ORS 338.045 (2) and (3).

Additionally, the applicant's prior history of operating charter schools is mixed. While the applicant has had some positive outcomes for students and is financially stable in California (under the same SSF passthrough model the applicant proposes in this application, which exceeds the legal obligation of districts in Oregon), other academic and non-academic indicators are poor, and the most recent audit found an area of noncompliance.

Finally, there is an indication that this application, if approved, would have a negative impact on the education of the students in the Pinehurst School District. As described in more detail below, Pinehurst would lose 5% of its student body for each student that attended the charter school, it would remain responsible for the provision of special

education services for students residing in other districts, and it would lack the capacity to provide oversight of a charter school whose educational facilities were located largely outside the district's boundaries.

For the reasons stated above and articulated further below, I recommend denial of the John Adams Academy charter school application.

Alignment of recommendation to criteria in ORS 338.055:

(a) *The demonstrated, sustainable support for the public charter school by teachers, parents, students and other community members, including comments received at the public hearing held under subsection (2) of this section;*

The following table represents comments received at the public hearing on January 25 and written testimony received before and after the hearing. Individuals who both gave verbal and written testimony are not counted twice.

	Support			Oppose		
	Resident	Non-resident	Unknown	Resident	Non-resident	Unknown
Verbal	9	7		23	6	
Written	7	10	7	60	23	5
Sub-total	16	17	7	83	29	5
TOTAL	40			117		

While this data reflects both support and opposition from potential sponsor district residents and individuals from outside the district, the applicant is applying for sponsorship within Pinehurst School District. Therefore, support from within the district is the most relevant to this application. Sixteen individuals identifying themselves as residents of the district submitted testimony in support of the application. Eighty-three individuals identifying themselves as residents of the district submitted testimony in opposition to the application. Seven individuals of unknown residency supported the application, and five individuals of unknown residency opposed it.

The charter school did not provide additional documentation of support for the potential charter school and does not demonstrate sustainable support for the public charter school by teachers, parents, students, and other community members.

- ☐ MET
☒ NOT MET

(b) The demonstrated financial stability of the public charter school, including the demonstrated ability of the school to have a sound financial management system that is in place at the time the school begins operating and that meets the requirements of ORS 338.095 (1);

The applicant states that it has based its enrollment projections on “existing intent to enroll data and historical enrollment of new John Adams Academy schools.” (Attachment 4) It is unclear how the enrollment of charter schools in California would be indicative of a new charter school in southern Oregon. This assumption is used to project revenues.

The applicant projects that the district withholding will be 1% of the SSF passthrough, which it based on other JAA academies. In Oregon, districts are allowed to retain 20% of the SSF for schools that serve grades K-8 and 5% for schools serving grades 9-12. It is not clear that this assumption by the applicant is reasonable. When asked how the budget would be impacted if the district did not agree to the 99% passthrough rate, the applicant replied in writing: “This full-service model may be impacted if the oversight fee is too high.” Should the district elect to retain the statutorily allowable amount of 20% per ADM for students in grades K-8 and 5% for students in grades 9-12, it is not clear that the charter school’s model would be financially viable and in writing, the charter school indicates this, as well.

The reviewer consulted with the district’s attorney on the question of the applicant’s ability to provide special education services. This was his response: The applicant states that its budget “allocates expenses for special education based on projected special education scholars.” (Attachment 4a) Under IDEA, the provision of direct services on a student’s IEP is the responsibility of the district, which receives and retains the additional weighting for these students (subject to the funding cap). Any other arrangement must be contractual between the charter school and the sponsor, and it is not clear that an assumption of this agreement is reasonable or advisable. (See Section (g)). In fact, a charter school may not be allowed to provide direct special education services without approval by the State Board of Education. It is not clear that JAA would obtain this approval. If the applicant cannot provide special education to students because it cannot receive approval from the State Board of Education for reasons expressed in Section (g) below, this will put a tremendous financial burden on the Pinehurst SD. A conservative estimate on the number of special education students in any given student population is at least 11%. With 450 students, the applicant will likely have at least 49 special education students. In order to hire special education staff, the Pinehurst SD will need additional financial resources to fund these positions. The

Pinehurst SD will not be able to support these new positions without applying the funding cap of 20% K-8 and 5% 9-12. If Pinehurst negotiates a charter contract with applicant with the funding cap, applicant will not be financially viable. If Pinehurst negotiates a charter contract with applicant with the applicant's proposed funding cap, Pinehurst has no way to hire the special education teachers to serve the special education students.

The applicant anticipates generating between \$50k and \$54K in revenue for extracurricular activities in the first five years. It is unclear how the applicant calculated this amount.

The applicant projects \$37,350 for the first year for "other local sources". It is unclear what these sources are, how they break down by category (types of fundraising, etc.) or how these are calculated to be reasonable.

The applicant noted in writing that it "intends to enter into an agreement with a non-profit organization that provides employment and related services to support the school." While this is allowable by PERS, there would need to be a determination of whether or not each person is an employee or an independent contractor, and the IRS will use a right-to-control test to assess a business's tax liability. Other requirements will contribute to the allowability of this arrangement, which the charter school, if approved, will need to ensure are met.

It is unclear how the applicant estimated the facility costs or in what market it did its research for appropriate sites.

- ☐ MET
☒ NOT MET

(c) The capability of the applicant, in terms of support and planning, to provide comprehensive instructional programs to students pursuant to an approved proposal;

The applicant provided a full scope and sequence of its program.

- ☒ MET
☐ NOT MET

(d) The capability of the applicant, in terms of support and planning, to specifically provide, pursuant to an approved proposal, comprehensive instructional programs to students identified by the applicant as academically low achieving;

The applicant provided a full scope and sequence of its program. The applicant described a Response to Intervention model it would use to support students identified as academically low achieving.

☒ **MET**
☐ **NOT MET**

(e) The adequacy of the information provided as required by ORS 338.045 (2) and (3);

The applicant does not answer satisfactorily several questions related to the requirements of ORS 338.045(2) and (3). Major examples include information about community demand for the program, demonstrated financial stability, and the provision of special education services. Lesser examples are provided in the rubric below.

☐ **MET**
☒ **NOT MET**

(f) Whether the value of the public charter school is outweighed by any directly identifiable, significant and adverse impact on the quality of the public education of students residing in the school district in which the public charter school will be located;

The Pinehurst School District currently serves 19 students. Should the application be approved, any district student deciding to attend the charter school would constitute a loss of approximately 5% of the Pinehurst student body. A loss of additional ADM could threaten the school district's financial viability.

While the charter school applicant notes that students attending from other districts will bring additional ADM funding to Pinehurst, the Pinehurst School District would also remain responsible for ensuring that students qualifying for special education were served—including those living in other districts where the charter school

located its campuses—which would be a cost to the district and could impact the quality of the education for the students in the Pinehurst School District.

Additionally, authorizing and monitoring a charter school—particularly one that locates its primary campus in at least one other district—would require an infrastructure that Pinehurst would need to build and maintain, likely requiring additional staff to do so, given the current size and capacity of the district. This would be a cost to the district and could impact the quality of education for the students in the Pinehurst School District.

☐ MET
☒ NOT MET

(g) Whether there are arrangements for any necessary special education and related services for children with disabilities pursuant to ORS 338.165;

The applicant anticipates that it will provide all services to students qualifying for special education services and students with disabilities and receive full funding for the provision of these services, despite stating in the application that the district would continue to provide supervision and monitoring (p. 26).

In response to written questions, the applicant states that “by contracting with JAA-Rogue Valley to provide special education services within the charter, Pinehurst ensures that the special education requirements are met without the need to provide any staffing or resources. Pinehurst would thus be able to fulfill the legal obligation of oversight in regards to special education without incurring any additional costs.” This is not true.

The reviewer consulted with the district’s attorney on the question of the applicant’s ability to provide special education services. The following is his response: ORS 343.221 does permit a school district to enter into a contract with “private agencies or organizations approved by the State Board of education for special education”. However, the applicant is not a private agency. It would be a public charter school. Public charter schools are not “private agencies or organizations”. Public charter schools are not on the list of entities that the State Board of Education may approve for special education. It is unclear how the applicant would receive this approval. Even if the charter school is approved by the State Board of Education to provide special education services, the district will retain legal liability for IDEA under state and federal law. The applicant’s proposal to

provide an indemnification provision in the charter contract will not change the fact that a school district is legally responsible to provide special education under state and federal law. Since ORS 338.165 places the legal responsibility for special education services on school districts, not charter schools, the District will always be ultimately responsible regardless of its agreement with the applicant. Special education disputes are not insurable under existing PACE coverage. An indemnification provision will not protect the District from an administrative order from ODE or from a federal judge ordering the district to provide special education services.

- ☐ MET
☒ NOT MET

(h) Whether there are alternative arrangements for students and for teachers and other school employees who choose not to attend or who choose not to be employed by the public charter school; and

NA

(i) The prior history, if any, of the applicant in operating a public charter school or in providing educational services.

The contract between the charter applicant (JAA) and the Roseville Joint Union High School District (RJUHSD) indicates that the applicant is deemed to be a Local Education Agency (LEA), and is thereby able to provide special education services. In Oregon, a charter school cannot be considered an LEA.

The 2022 municipal audit noted that the applicant's organization is financially stable. According to the testimony at the hearing and the contract between JAA and RJUHSD, it can be assumed that the sponsors of these schools each retain 1% of the per-student ADM funding amount.

The audit also stated the following: "As described in the accompanying schedule of findings and questioned costs, the Organization did not comply with requirements regarding Non-Classroom-Based Instruction/Independent

Study as described in finding number 2022-001 for independent study agreements requirements.

Criteria: California Education Code (EC) section 51744-51749.5 requires that local educational agencies that claim apportionment for independent study must first adopt and implement written policies relating to independent study. The required written policies must be developed as specified in the California Code of Regulations, Title 5, Section 11701 and as provided in EC sections 51747 and 51749.5. No ADA may be claimed from independent study until the written agreement is completed (EC section 51747[g][9]).

Condition: During our testing of independent study agreements, we found 13 instances where students were credited with attendance prior to the signing of the agreement by all required parties. The errors were noted in 13 of 30 agreements tested.”

Academic indicators provided by the California Department of Education are in the table below:

	Roseville	Lincoln	El Dorado
ELA performance	55.79% (11.9 points above standard)	53.21% (1.8 points above standard)	62.19% (24.7 points above standard)
Math performance	42.1% (26.8 points below standard)	41.51% (25.4 points below standard)	43.37% (6.9 points above standard)
Chronically absent	12.6% (high)	17.3% (high)	14.5% (high)
Graduation rate	95.7%		

The applicant indicated that it has not received any written evaluation reports or corrective action plans by its sponsoring districts and provided no such reports or plans.

The charter school appears to outperform state standards in reading to a high degree but underperforms in math in two of three schools. Chronic absenteeism is high in all schools. The graduation rate is very high.

Findings in the 2022 audit indicated noncompliance in one area, but audits from the previous two years did not indicate the same noncompliance.

While the charter school appears financially stable (with a 99% SSF passthrough model), it has had mixed results in academic performance by state testing indicators and chronic absenteeism is high across all schools. Additionally, the lack of evaluations by sponsoring districts provide little additional information about the performance of the charter school.

- ☐ MET
☒ NOT MET

In consultation with the district's attorney, the following suggestion is made:

The applicant could consider withdrawing its application until a formal legal decision from the Oregon Department of Justice and the State Board of Education provides an answer to two questions:

- (1) Can a charter school qualify as a private agency or organization under ORS 343.221(5)?
- (2) If so, will the State Board of Education approve applicant to provide special education? And;
- (3) If yes to questions (1) and (2), does this absolve a school district from special education responsibility and liability for under state and federal law?

Narrative Questions	0	1	Comments (including references from the application)
1. The identification of the applicant.	☐	☒	The applicant has not yet applied for tax-exempt status as of the submission of the application.
2. The name of the proposed charter school.	☐	☒	
3. A description of the philosophy and mission of the public charter school.	☐	☒	
4. A description of the curriculum of the public charter school.	☐	☒	Applicant provided a scope and sequence in addition to a narrative description.
5. A description of the expected results of the curriculum and the verified methods of measuring and reporting results that will allow comparisons with public schools.	☐	☒	Applicant provides expected results of SAT and PSAT scores based on other schools operated by the applicant.
6. The governance structure of the public charter school	☐	☒	The applicant is considering management through a CMO.
7. The projected enrollment, including the ages or grades to be served.	☒	☐	The applicant proposes 450 students in the first year of operation. The applicant states that it will draw students from the “region” but is not specific as to what this means outside of the sponsoring district.
8. The target population of students the public charter school will be designed to serve	☐	☒	The applicant states that “English Language Learner and special education populations track with, or be similar to, that of the authorizing School District and County’s scholar populations in which it is located” (p. 15). Pinehurst School District serves approximately 20 students as of this writing. It is unclear how the charter school would assess its alignment of ELL and special education students with the district’s percentage.

9. A description of any distinctive learning or teaching techniques to be used in the public charter school.	☐	☒	The applicant fully describes the classical education model.
10. The legal address, facilities, and physical location of the public charter school, if known	☐	☒	Applicant states it will “maintain a physical primary address within the District and will open and operate one or more satellite campuses outside of the District at a location in the Rogue Valley to be determined no later than four months before the beginning of a school year.” (p. 19) This “physical primary address” has been indicated to be—through communication with the charter school’s attorney and minutes from Pinehurst School District board meetings at which the applicant or its attorney has spoken—a facility at which instruction is not offered. On December 7, 2022, The Oregon Department of Education issued an opinion stating that a charter school would not have to operate a facility offering instruction to students within a district in order to be sponsored by that district. At the hearing, and in materials for the hearing, the applicant stated that it would “provide an excellent 7-12 grade education option in Pinehurst” (written response from hearing). This is a departure from the written application.
11. A description of admission policies and application procedures.	☒	☐	The applicant discusses its marketing strategies in this section but does not address its admissions policies or application procedures.
12. The statutes and rules that shall apply to the public charter school.	☐	☒	

13. The proposed budget and financial plan for the public charter school, including evidence that the proposed budget and financial plan are financially sound.	☒	☐	The applicant states that it has based its enrollment projections on “existing intent to enroll data and historical enrollment of new John Adams Academy schools.” (Attachment 4) It is unclear how the enrollment of charter schools in California would be indicative of a new charter school in southern Oregon. This projection is used to project revenues. The applicant projects that the district withholding will be 1% of the SSF passthrough, which it based on other JAA academies. In Oregon, districts are allowed to retain 20% of the SSF for schools that serve grades K-8 and 5% for schools serving grades 9-12. It is not clear that this assumption by the applicant is reasonable. When asked how the budget would be impacted if the district did not agree to the 99% passthrough rate, the applicant replied in writing: “This full-service model may be impacted if the oversight fee is too high.” The applicant states that its budget “allocates expenses for special education based on projected special education scholars.” (Attachment 4a) Under IDEA, the provision of direct services on a student’s IEP is the responsibility of the district, which receives and retains the additional weighting for these students (subject to the funding cap). Any other arrangement must be contractual between the charter school and the sponsor, and it is not clear that an assumption of this agreement is reasonable or advisable.
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		The applicant anticipates generating between \$50k and \$54K in revenue for extracurricular activities in the first five years. It is unclear how the applicant calculated this amount. The applicant projects \$37,350 for the first year for “other local sources”. It is unclear what these sources are, how they break down by category (types of fundraising, etc.) or how these are calculated to be reasonable. The applicant proposes to contribute \$88,363 to employees’ retirement in the first year of operation. It calculates total salaries and wages at \$1,767,260; \$88,363 equates to 5% of wages. PERS (which charter schools is required to participate in) currently reflects a rate of approximately 20% for charter schools. The applicant noted in writing that it “intends to enter into an agreement with a non-profit organization that provides employment and related services to support the school.” While this is allowable by PERS, PERS notes that there would need to be a determination of whether or not each person is an employee or an independent contractor, and the IRS will use a right-to-control test to assess a business’s tax liability. Other requirement will contribute to the allowability of this arrangement, which the charter school, if approved, will need to ensure are met. It is unclear how the applicant estimated the facility costs or in what market it did its research for appropriate sites.
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14. A description of the financial management system for the public charter school, an explanation of how the financial management system will meet the requirements of ORS 338.095 (1) and a plan for having the financial management system in place at the time the school begins operating	☒	☐	While most elements of this section are addressed, the applicant does not address how the financial management system will be compatible with the budget and accounting system of the sponsoring district, as per ORS 338.095(1).
15. The standards for behavior and the procedures for discipline, suspension, or expulsion of students.	☒	☐	This section requires the <u>standards</u> for behavior and procedures for discipline, suspension, and <u>expulsion</u> . The applicant does not address these elements, but states that it will “adopt appropriate and legally compliant” policies (p. 23).
16. The proposed school calendar, including the length of the school day and school year.	☒	☐	This section requires the proposed calendar, which the applicant does not provide. The applicant notes the daily start and end times, but does not indicate when passing/break/meal times are scheduled, so accurate instructional time cannot be calculated. The length of the school year is not provided.
17. A description of the proposed staff members and required qualifications of teachers at the public charter school.	☐	☒	The headmaster job description states that an administrative credential is “preferred” (Attachment 5). An administrative credential is required for charter school administrators (either licensure or registration). Under the section discussing professional development, the applicant lists a number of institutes, colleges, and centers at which teachers will be provided opportunities to seek professional development. Some of these colleges and universities are religious in nature; should the application be approved, the charter school should ensure that teachers have choices in their selection of professional development options, so that a potential establishment clause

			violation and/or potential religious discrimination can be avoided.
18. The date upon which the public charter school would begin operating.	☐	☒	
19. The arrangements for any necessary special education and related services provided pursuant to ORS 338.165 for children with disabilities who may attend the public charter school	☒	☐	The applicant states that it may “request related services” from Southern Oregon ESD (p.26) but it is unclear whether these related services would be contracted and whether or not costs for these services are accounted for in the proposed budget. The applicant notes that it will provide direct special education services to students subject to monitoring by the district. It is unclear whether the district would agree to this arrangement and how this would impact the budget if the district did agree. The applicant stated in writing: “By contracting with JAA-Rogue Valley to provide special education services within the charter, Pinehurst ensures that the special education requirements are met without the need to provide any staffing or resources. Pinehurst would thus be able to fulfill the legal obligation of oversight in regards to special education without incurring any additional costs.” The district cannot absolve itself of responsibility for ensuring FAPE for all students, regardless of any agreements it may have with the charter school. While the applicant details the process for establishing a 504 plan of service, the process to evaluate a student for a potential IEP is much less detailed.

20. Information on the manner in which community groups may be involved in the planning and development process of the public charter school.	☒	☐	This section requires information on how community groups may be involved in the <u>planning and development process of the charter school</u>. The applicant discusses outreach to unidentified communities and recruitment efforts but not the required elements of this section. It is unclear if the recruitment efforts have happened within the sponsoring district and if the letters of support and intent to enroll have come from families in the sponsoring district. Given that the applicant does not provide evidence of this support, it is unclear how much support there is within the sponsoring district.
21. The term of the charter.	☐	☒	The applicant requests a 5-year charter agreement.
22. The plan for performance bonding or insuring the public charter school, including buildings and liabilities.	☐	☒	
23. A proposed plan for the placement of public charter school teachers, other employees, and students upon termination or nonrenewal of the charter.	☐	☒	
24. The manner in which the public charter school program review and fiscal audit will be conducted.	☐	☒	
25. In the case of a district school's conversion to charter status, additional criteria must be addressed.			NA
26. Each member of the proposed public charter school's governing body must provide an acknowledgment of understanding related to the standards of conduct and the liabilities of a director of a nonprofit organization, as those standards and liabilities are described in ORS	☒	☐	While the form is provided, it is not signed, as the applicant states.

chapter 65, if the public charter school is organized as required by ORS 338.035 (2)(a)(B) and (C)			
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